Business Ethics and Culture

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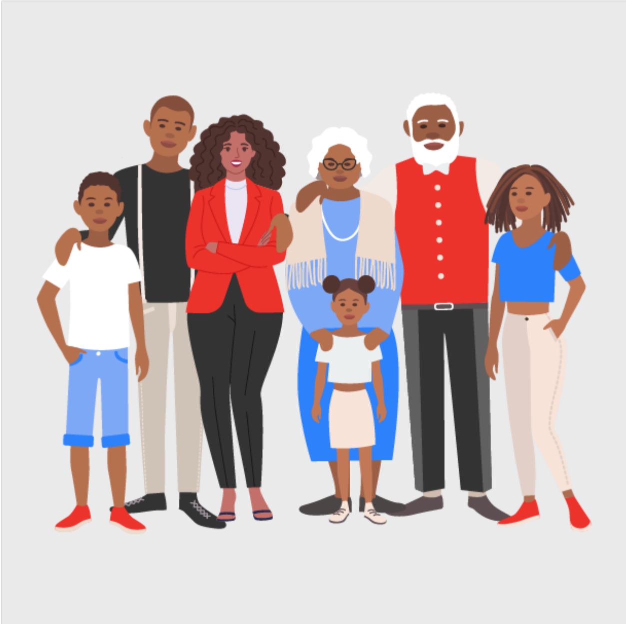
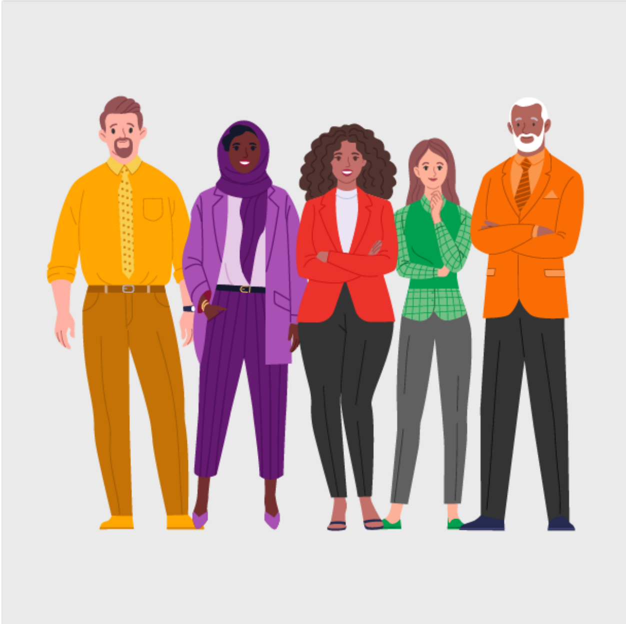
WHAT'S COVERED

Throughout this challenge you learn how culture and business affect each other and how they vary. To begin this study, in this lesson we will consider broadly how culture is defined in terms of business. Specifically, this lesson will cover:

1. The Relationship Between Business and Culture

To understand the influence of culture on business ethics, it is essential to understand the concepts of enculturation and acculturation. **Enculturation** refers to the process by which humans learn the rules, customs, skills, and values to participate in a society. In other words, no one is born with culture; all humans, regardless of their origin, have to learn what is considered appropriate behavior in their surrounding cultures. While enculturation is the acquisition of any society's norms and values, **acculturation** refers to the cultural transmission and socialization process that stems from cultural exchange. The effects of this blending of cultures appear in both the native (original) culture and the host (adopted) culture. Historically, acculturation has often been the result of military or political conquest. Today, it also comes about through economic development and the worldwide reach of the media.

Enculturation	Acculturation

IN CONTEXT

The “purchase” of Manhattan Island is an excellent case study of an encounter between two vastly different cultures, worldviews, histories, and experiences of reality, all within a single geographic area. No deed of sale remains, so it is difficult to tell exactly what happened in May 1626 in what is now Manhattan, but historians agree that some kind of transaction took place between the Dutch West India Company, represented by Peter Minuit, the newly appointed director-general of the New Netherland colony, and the Lenape, a Native American tribe. Which exact Lenape tribe is unknown; its members may have been simply passing through Manhattan or may have been the Canarsee, who lived in what is today southern Brooklyn. Legend has it that the Dutch bought Manhattan Island for $24 worth of “beads and trinkets,” but some historians believe the natives granted the Dutch only fishing and hunting rights and not outright ownership. Furthermore, the price, acknowledged as “sixty guilders” (about $1000 today), could represent the value of items such as farming tools, muskets, gun powder, kettles, axes, knives, and clothing offered by the Dutch. Clearly, the reality was more nuanced than the legend.

Although it is a misconception that the native peoples of what would become the United States did not own property or value individual possession, it is true that their approach to property was more fluid than that of the Dutch and of later settlers like the English, who regarded property as a fixed commodity that could be owned and transferred to others. These differences, as well as enforced taxation, eventually led to war between the Dutch and several Native American tribes. Further colonization exacerbated hostilities and misunderstandings, not merely about how to conduct business but also about how to live together in harmony.

Two major conditions affect the relationship between business and culture. The first is that business is not culturally neutral. Today, it typically displays a mindset that is Western and primarily English-speaking and is reinforced by the enculturation process of Western nations, which tends to emphasize individualism and competition. In this tradition, business is defined as the exchange of goods and services in a dedicated market for the purpose of commerce and creating value for its owners and investors. Thus, business is not open-

ended but rather directed toward a specific goal and supported by beliefs about labor, ownership, property, and rights.
In the West, we typically think of these beliefs in Western terms. This worldview explains the misunderstanding between Minuit, who assumed he was buying Manhattan, and the tribal leaders, who may have had in mind nothing of the sort but instead believed they were granting some use rights.

The point is that a particular understanding of and approach to business is already given in any particular culture. Businesspeople who work across cultures must perform the translation work of business to put their understanding and approach into local cultural idioms.

> ↪ EXAMPLE You might find sambal chili sauce in an Indonesian McDonald's in place of Heinz ketchup. The American restaurant chain has modified its menu to accommodate local tastes and expectations.

The second condition that affects the relationship between business and culture is more complex, because it reflects an evolving view of business in which the purpose is not solely generating wealth but also balancing profitability and responsibility to the public interest and the planet. In this view, which has developed as a result of political change and economic globalization, organizations comply with legal and economic regulations but then go beyond them to effect social change and sometimes even social justice. The dominant manufacture-production-marketing-consumption model is changing to meet the demands of an increasing global population and finite resources. No longer can an organization maintain a purely bottom-line mentality; now it must consider ethics, and therefore, social responsibility and sustainability, throughout its entire operation. As a result, local cultures are assuming a more aggressive role in defining their relationship with business prevalent in their regions.

Had this change taken place four centuries ago, that transaction in Manhattan might have gone a little differently. However, working across cultures can also create challenging ethical dilemmas, especially in regions where corruption is commonplace. A number of companies have experienced this problem, and continued globalization will likely only increase its incidence.

What about the ethical dimensions of a business in a developed country engaging in commerce in an environment where corruption might be more rampant than at home? How can an organization remain true to its mission and what it believes about itself while honoring local customs and ethical standards? The question is significant because it goes to the heart of the organization's values, its operations, and its internal culture. What must a business do to engage with local culture while still fulfilling its purpose, whether managers see that purpose as profitability, social responsibility, or a balance between the two?

Most business organizations hold three kinds of beliefs about themselves. The first identifies the purpose of business itself. In recent years, this purpose has come to be the creation not just of shareholder wealth but also of economic or personal value for workers, communities, and investors. The second belief defines the organization's mission, which encapsulates its purpose. Most organizations maintain some form of mission statement.

> ↪ EXAMPLE Although IBM did away with its formal mission statement in 2003, its underlying beliefs about itself have remained intact since its founding in 1911. These are (1) dedication to client success, (2) innovation that matters (for IBM and the world), and (3) trust and personal responsibility in all relationships. President and Chief Executive Officer (CEO) Ginni Rometty stated the company "remain[s] dedicated to leading the world into a more prosperous and progressive future; to creating a world that is fairer, more diverse, more tolerant, more just."

Finally, businesses also go through the process of enculturation; as a result, they have certain beliefs about themselves, drawn from the customs, language, history, religion, and ethics of the culture in which they are formed.

↪ EXAMPLE Some companies have reputations for high ethical standards, while other companies have histories of ethical transgressions. For example, Nike, Inc. has been publicly scrutinized since the 1990s for using child labor and forced labor to manufacture their shoes. Though the company introduced a code of conduct in the 1990s to improve their image, as recently as 2020 it was discovered that they were still using forced labor, specifically an ethnic minority, the Uyghur people, in northwest China. Rather than change practices, the corporation merely tried to conceal their practices. This shows that just as ethical behavior can be hardwired into corporate culture, so can ethical compromise (Pang, 2022).

TERMS TO KNOW

Enculturation

The process by which humans learn the rules, customs, skills, and values to participate in a society.

Acculturation

The cultural transmission and socialization process that stems from cultural exchange.

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2. Ethics and Varying Cultural Norms

Our beliefs are also challenged when a clash occurs between a legal framework and cultural norms, such as when a company feels compelled to engage in dubious and even illegal activities to generate business. For example, the German company Deutsche Bank paid over a hundred million dollars in fines for bribery in 2021 (de Chazal, 2022). Although some local officials may have expected to receive bribes to grant government contracts, Deutsche Bank was still bound by national and international regulations forbidding the practice. How can a company remain true to its mission and code of ethics in a highly competitive international environment?

Business performance is a reflection of what an organization believes about itself, as in the IBM example. Those beliefs, in turn, spring from what the individuals in the organization believe about it and themselves, based on their communities, families, personal biographies, religious beliefs, and educational backgrounds. Unless key leaders have a vision for the organization and themselves, and a path to achieving it, there can be no balance of beliefs about profitability and responsibility, or integration of business with culture. The Manhattan purchase was successful to the degree that Minuit and the tribal leaders were willing to engage in an exchange of mutual benefit. Yet this revealed a transaction between two very different commercial cultures. Did each group truly understand the other’s perception of an exchange of goods and services? Furthermore, did the parties balance personal and collective beliefs for the greater good? Given the distinctions between these two cultures, would that even have been possible?

To paraphrase the ancient Greek philosopher Heraclitus (c. 535–475 BCE), the one constant in life is change. Traditional norms and customs have changed as the world’s population has grown more diverse and urbanized, and as the Internet has made news and other resources readily available. The growing emphasis on **consumerism**—a lifestyle characterized by the acquisition of goods and services—has meant that people have become defined as “consumers” as opposed to citizens or human beings. Unfortunately, this emphasis eventually leads to the problem where individuals feel the need to continually purchase new goods in order to reach an equivalent level of satisfaction.

At the same time, markets have become more diverse and interconnected. For example, South Korean companies like LG and Samsung employ 52,000 workers in the United States, and many U.S. companies and other countries manufacture their products abroad. Such globalization of their domestic markets has allowed U.S. consumers and other consumers around the world to enjoy products globally, but it also presents ethical challenges. The individual consumer, for instance, may benefit from lower prices and a greater selection of goods, but only by supporting a company that might be engaged in unethical practices in its overseas supply or distribution chains.

DID YOU KNOW

Recently, Samsung and LG have made initiatives to improve equity, with LG naming the first woman as CEO of any South Korean company who was not heir to a previous male leader, and Samsung leading the country for appointing women to leadership positions. Such changes reflect a nascent movement in South Korea but also reflect an effort by these companies to be global leaders.

Producers' choices about wages, working conditions, environmental impact, child labor, taxation, and plant safety feature in the creation of each product brought to market. Becoming aware of these factors requires consumers to engage in an investigation of the business practices of the organizations they will patronize and exercise a certain amount of cultural and ethical sensitivity. For example, prior to purchasing a particular product, consumers might consider investigating how each product was produced and ask themselves if it was produced using means they agree with, such as avoiding animal testing or ensuring the company pays a living wage.

In considering the ethical challenges presented by the outsourcing of production to lower costs and increase profits, let us return to the example of IBM. IBM has a responsibility to provide technology products of high quality at affordable prices in line with its beliefs about client success, innovation, and trust. If it achieved these ends in a fraudulent or otherwise illegal way, it would be acting irresponsibly and in violation of both U.S. and host country laws, as well as the company's own code of ethics. These constraints appear to leave little room for unethical behavior, yet in a globalized world of intense competition, the temptation to do anything possible to carve out an advantage can be overpowering. This choice between ends and means is reminiscent of the philosophers Aristotle and Kant, both of whom believed it impossible to achieve just ends through unjust means.

But what about consumer responsibility and the impact on the global community? In a global economy, people can be anxious about job security as manufacturing or other industries are moved offshore. At the same time, globalization makes products available and may increase job opportunities. However, even in business, ethics is not about consumption but rather about human morality, a greater end. Considering an expansion of domestic markets, what feature of this process enables us to become more humane rather than simply pickier consumers or wasteful spenders? It is the opportunity to encounter other cultures and people, increasing our ethical awareness and sensitivity. Seen in this way, globalization affects the human condition. It raises no less a question than what kind of world we want to leave to our children and grandchildren.

TERM TO KNOW

Consumerism

A lifestyle characterized by the acquisition of goods and services.

SUMMARY

In this lesson, you learned about **the relationship between business and culture** and how ethics are learned through enculturation (your own culture) and acculturation (the cultures of people outside your own), and that transactions, like the "purchase" of Manhattan Island by Dutch traders from the Lenape people, represent distinct perspectives, value systems, languages, and cultures. Life is in constant change, so **ethics and varying cultural norms** also change. People in business need to learn to adapt even as they come to understand, and reinforce, ethical principles of respect for the humanity of all. The choices you make, from your purchases to your votes, represent and communicate an expression of your ethical values. All people need to consider how their consumption, and their choices, impact other people and the planet they leave to future generations.

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TERMS TO KNOW

Acculturation
The cultural transmission and socialization process that stems from cultural exchange.

Consumerism
A lifestyle characterized by the acquisition of goods and services.

Enculturation
The process by which humans learn the rules, customs, skills, and values to participate in a society.